

MATERIALITY

<IR 3D, 4H>

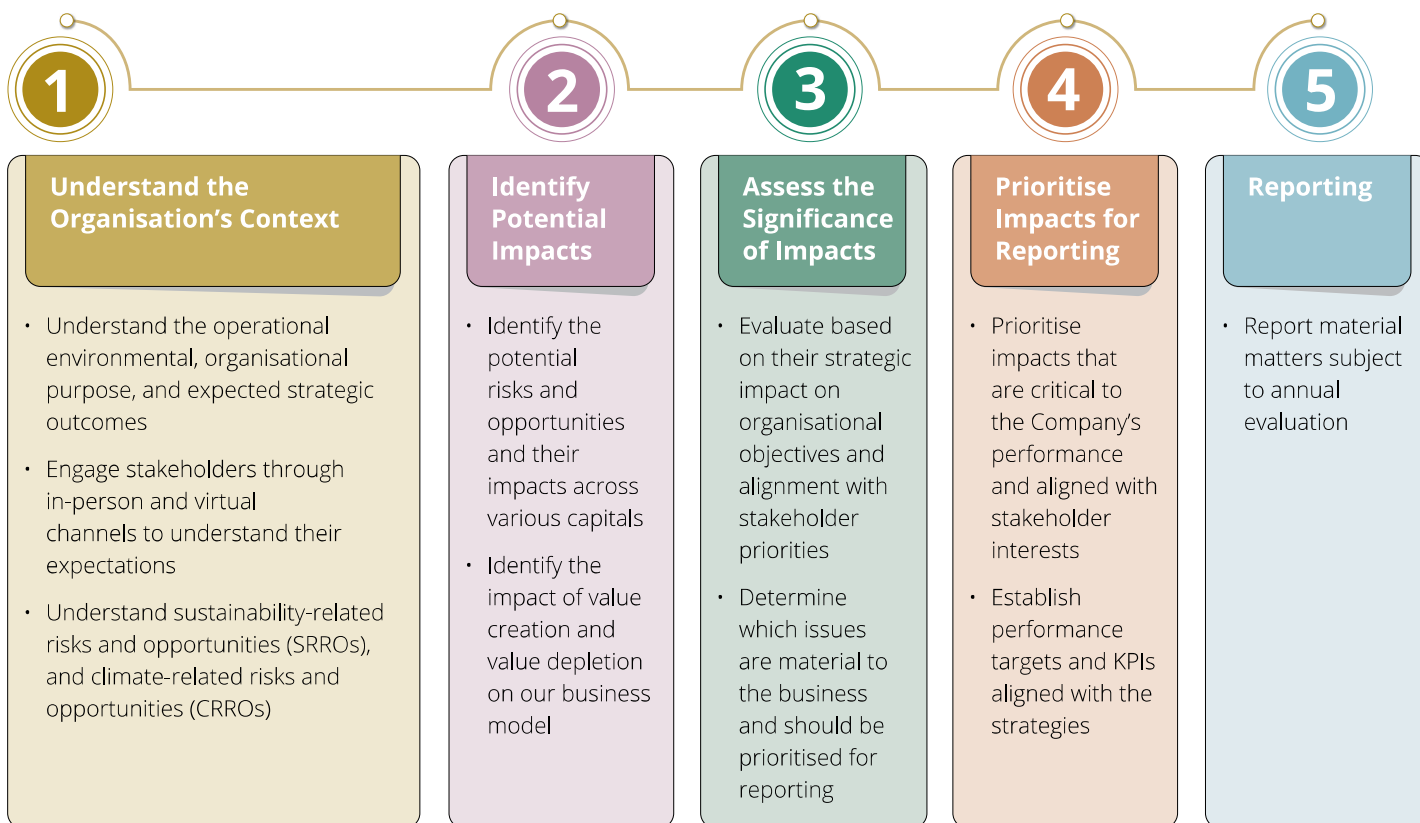
GRI: 3-1



1. INTEGRATED DYNAMIC AND DOUBLE MATERIALITY

Our process for determining Material Matters adheres to a double materiality approach, examining issues from an internal and external perspective. This means we consider the impact of a matter on both our ability to create value (inward focus) and its broader impact on the environment and society (outward focus). In conducting this assessment, we consider significant events from the past year and, importantly, the views of our stakeholders. Material Matters, as identified through this rigorous process and aligned with <IR>, GRI, and SLFRS requirements, have the potential to significantly influence the delivery of our business strategy and affect our ability to create and preserve value over time.

1.1 Materiality Determination Process



1.2 We Recognise a Matter as Double Material If :



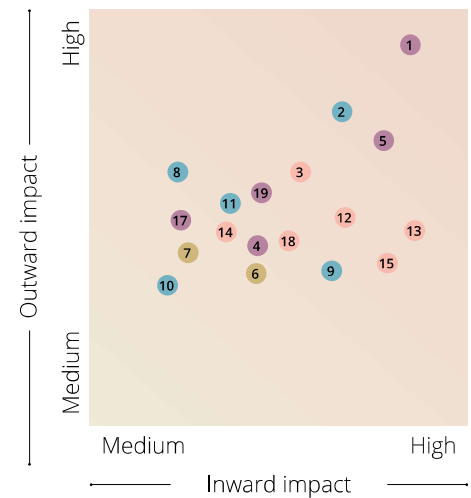
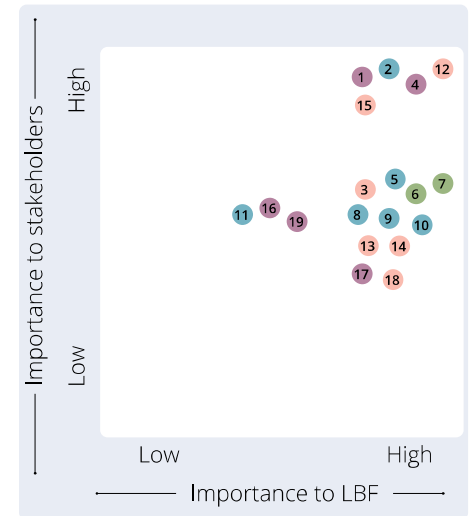
Changing Materiality

In 2024/25, macroeconomic and microeconomic shifts significantly influenced our materiality assessment. A more thorough double materiality assessment revealed interdependence between certain issues. Consequently, we combined related material matters based on their strategic importance, which resulted in a shift in materiality levels compared to 2023/24.

1.3 Materiality Drivers and Mapping

Rank	Material Matter	GRI Relevance	EESG
1	Sustainable revenue growth	201-1, 207	Economic
2	Risk and capital management	2-23, 201-2	Governance
3	Brand trust	2-24, 2-25, 2-26	Social
4	Operational resilience	2-12, 2-14, 2-22	Economic
5	Process excellence	2-23, 2-24, 2-26	Governance
6	Digital transformation	418-1	Environmental
7	Financed emissions reduction	305	Environmental
8	Internal control and risk management	2-12, 2-13, 2-14, 2-15, 2-16	Governance
9	Ethical and transparent practices	2-23, 2-24, 2-25, 2-26, 2-27, 205-2	Governance
10	Regulatory compliance	2-24	Governance
11	Information security and data privacy	418-1	Governance
12	Corporate citizenship and social license to operate	413-1	Social
13	Employee engagement	2-23, 401-2	Social
14	Training and development	404	Social
15	Health and safety	403-1	Social
16	Selling practices	NA*	Economic
17	Lending practices	NA*	Economic
18	Customer experience	418-1	Social
19	Financial inclusion	203-2	Economic

● Economic
 ● Environmental
 ● Social
 ● Governance



*SASB Consumer Finance Standard applicable

2. MATERIAL THEMES

We identify material themes as essential factors for achieving shared value outcomes. The following themes have been identified for the financial year 2024/25 as material themes.

MT 1 Sustainable and Climate Inclusive Business Growth

MT 2 Future-fit Organisation

MT 3 Good Governance and Risk Optimisation

MT 4 Supporting Social Cohesion

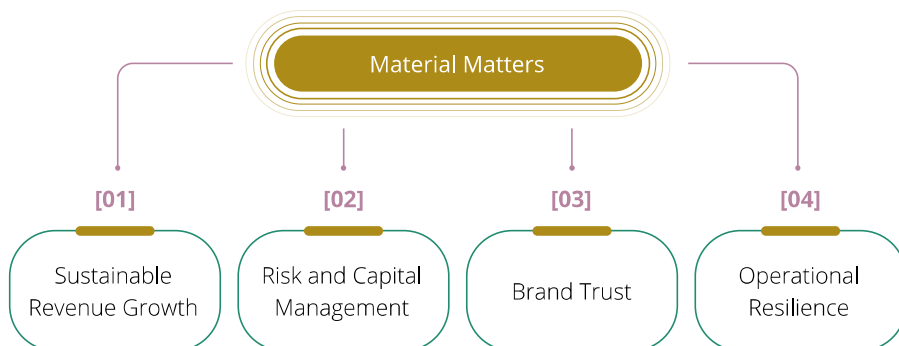
MT 5 Serving and Meeting Customer Needs

MATERIALITY

2.1 Behaviour of Material Themes

MT 1 Sustainable and Climate Inclusive Business Growth

Sustainable and Climate Inclusive Business Growth delivers consistent financial performance while creating long-term value for stakeholders and society. For LBF, this means striking the right balance between profitability and purpose by embedding sustainability into our growth strategy. We focus on generating appropriate business outcomes that not only drive shareholder value, but also strengthen stakeholder trust, enhance the stability of the financial system, and build resilience against future shocks.



Material Matters: Matters that Help or Hinder Our Ability to Deliver on Our Strategy

Help

- Strong brand reputation
- Diversified portfolio
- Experienced leadership and management
- Liquidity and capital reserves
- Technology and digital transformation

Hinder

- Market saturation in urban areas
- Talent retention challenges
- Evolving digital risks
- Market volatility

Strategic Alignment

- S 1** Sustainable Growth
- S 4** Positive Impacts
- S 6** Risk and Governance

SDG



Capitals Impacted



GRI

✦ GRI: 3-1, 3-2

Why is this a Material Theme?

Sustainable and Climate Inclusive Business Growth is a material theme for LBF because it allows the Company to balance financial performance with long-term value creation for both stakeholders and society. This approach is key to align profitability with purpose, ensuring that growth strategies contribute to shareholder value while also fostering stakeholder trust. By embedding sustainability into its business model, LBF strengthens the resilience of the financial system, enhances its ability to withstand future shocks, and builds a solid foundation for long-term success. Recognising this theme ensures the Company can meet the evolving needs of its stakeholders and position itself as a responsible leader in the industry.

Associated Risks

- Market risk
- Operational risk
- Credit risk

Associated Opportunities

- Customer-centric innovations
- Cost optimisation through technology
- Stronger customer loyalty
- Diversification of revenue streams
- Building partnerships and strategic alliances

Actions

We mitigate risk during economic downturns through a combination of strategies: offering diverse financial products, conducting rigorous credit assessments, focusing lending on creditworthy customers and low-risk sectors, and proactively engaging with regulators to ensure compliance and adapt to policy changes.

Materiality Themes

For more information on

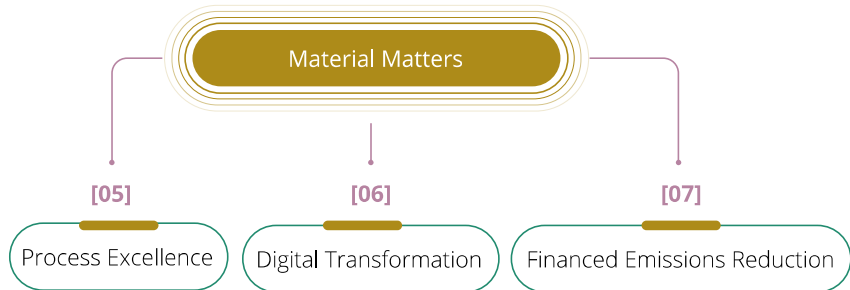
- Interrelationship Between Material Issues



Visit the Material matters on the LBF sustainability site

MT 2 Future-fit Organisation

Future-fit Organisation proactively adapts to evolving market conditions, embraces technological advancements, and responds to societal shifts to ensure long-term sustainability. For LBF, this means embedding sustainable practices across all operations, strategically leveraging digital technologies such as digital financing and AI, enhancing organisational agility, strengthening risk management frameworks, and prioritising customer-centric financial solutions that meet their evolving needs.



Material Matters: Matters that Help or Hinder Our Ability to Deliver on Our Strategy

Help

- Sustainable financial model
- Technology adoption
- Customer-centric approach
- Sustainability initiatives

Hinder

- High initial costs
- Skill gaps
- Resistance to change
- Cybersecurity and data privacy concerns

Why is this a Material Theme?

Future-fit Organisation is a material theme for LBF because it ensures long-term sustainability, competitiveness, and adaptability in a changing market. By focusing on digital transformation, process improvement, and customer experience, LBF remains responsive to market dynamics and technological advancements. Additionally, managing financed emissions highlights the Company's commitment to environmental stewardship. This approach positions LBF to maintain resilience, drive future growth, and strengthen its strategic advantage.

Strategic Alignment

- S1** Sustainable Growth
- S2** Customer Centricity
- S3** Digital Leadership

SDG



Capitals Impacted

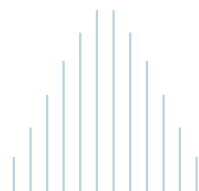


GRI

✦ GRI: 3-1, 3-2 |

Associated Risks

- Cybersecurity Risk
- Operational Risk
- IT Risk



Associated Opportunities

- Enhance customer experience and operations with advanced technologies
- Position LBF as a leader in digital financial services and sustainable finance
- Offer innovative digital solutions and personalised services
- Leverage growing demand for sustainable financial products to boost brand and market share

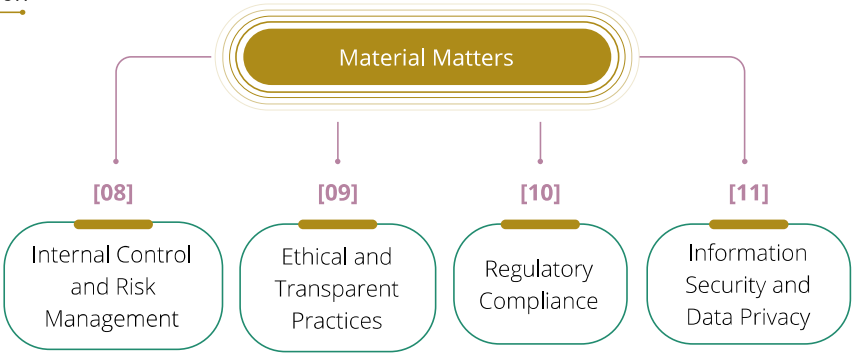
Actions

To build long-term resilience and security, we invested in robust cybersecurity infrastructure, prioritise phased technology implementation, and diversify our investments. Moreover, recognising the critical role of human capital, we focus on enhancing employee skills through comprehensive training programmes, strategic partnerships with educational institutions, and the recruitment of specialised talent.

MATERIALITY

MT 3 Good Governance and Risk Optimisation

Good Governance and Risk Optimisation at LBF is the foundation for creating long-term value for our stakeholders. It encompasses ethical leadership, unwavering regulatory compliance, and the cultivation of stakeholder confidence. Complementing this, our approach to risk optimisation involves proactively identifying, thoroughly assessing, and strategically mitigating financial and operational risks to strengthen our resilience and enable sustainable growth.



Material Matters: Matters that Help or Hinder Our Ability to Deliver on Our Strategy

Help

- Strong reputation
- Experienced management
- Sound risk management framework
- Integrated compliance monitoring

Hinder

- Complexity of risk factors
- Regulatory uncertainty
- Cybersecurity threats

Strategic Alignment

S 1 Sustainable Growth

S 6 Risk and Governance

SDG

8
DECENT WORK AND ECONOMIC GROWTH

9
INDUSTRIAL INNOVATION AND INFRASTRUCTURE

10
REDUCED INEQUALITIES

16
PEACE, JUSTICE AND STRONG INSTITUTIONS

Capitals Impacted

FC

SRC

GRI

GRI: 3-1, 3-2

Why is this a Material Theme?

Good Governance and Risk Optimisation is a material theme for LBF because it directly impacts the Company's operational integrity, financial resilience, and long-term sustainability. By focusing on effective corporate governance and proactive risk management, LBF ensures regulatory compliance, minimises potential financial and operational risks, and fosters stakeholder confidence. This approach helps the Company to mitigate market fluctuations, economic downturns, and other uncertainties, safeguarding its long-term value and ensuring business continuity. Prioritising risk and capital management enhances LBF's ability to adapt to challenges, maintain stability, and protect stakeholder interests, making it a critical theme for sustaining growth and achieving strategic objectives.

Associated Risks

- Market Risk
- Operational Risk
- IT Risk
- Reputational Risk

Associated Opportunities

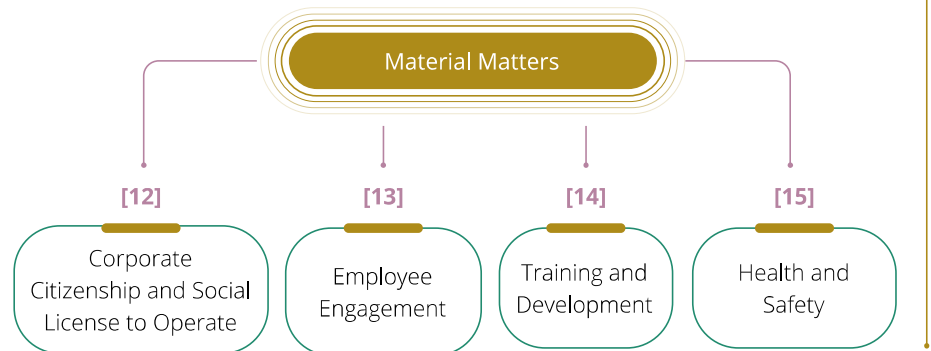
- Clearer communication and transparency with stakeholders
- Clearer compliance with international regulatory standards
- Leveraged AI and data analytics for proactive risk mitigation
- Increased operational efficiency through automation
- Improved cybersecurity measures to protect customer data

Actions

Agility in our business is achieved through regular practices. This requires a process of regular auditing and structured training for our staff to ensure we act in accordance with regulatory practice and are fully compliant. Maintaining transparency in financial reporting and an agile approach to our risk management framework ensures any market conditions are responded to in an appropriate way with mitigation activity actioned quickly.

MT 4 Supporting Social Cohesion

Supporting Social Cohesion involves building a sense of belonging, unity, and mutual support within our organisation and the wider society. This requires ensuring equal opportunities for all individuals and groups, while also encouraging their active participation in contributing to the collective well-being and prosperity.



Material Matters: Matters that Help or Hinder Our Ability to Deliver on Our Strategy

Help

- Inclusive financial products
- Diversity and inclusive initiatives
- Ongoing learning opportunities
- Workplace stress and mental health management
- Community partnerships

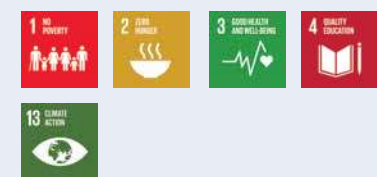
Hinder

- Public mistrust in non-banking financial institutions
- One-size fits all engagement strategies
- Limited stakeholder dialogue

Strategic Alignment

- S 4** Positive Impacts
- S 5** Empowering People

SDG



Capitals Impacted



GRI

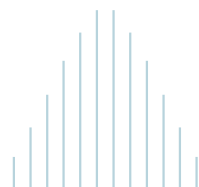
GRI: 3-1, 3-2

Why is this a Material Theme?

Supporting Social Cohesion is a material theme for LBF because it underscores the importance of fostering strong relationships both within the Company and with external stakeholders. By focusing on employee engagement, health and safety, and training and development, LBF not only creates a positive and productive work environment, but also strengthens its relationship with the broader community and customers. This commitment to social cohesion builds trust, enhances corporate citizenship, and ensures long-term success by retaining top talent, reducing turnover costs, and promoting a stable, motivated workforce. Ultimately, it contributes to a sustainable business model that benefits both employees and the communities in which LBF operates.

Associated Risks

- Operational risk
- Reputation Risk
- Sustainability Risk



Associated Opportunities

- Introducing innovative community outreach programmes
- Partnerships with public organisations
- Employee volunteering opportunities
- Introducing cross departmental training programmes

Actions

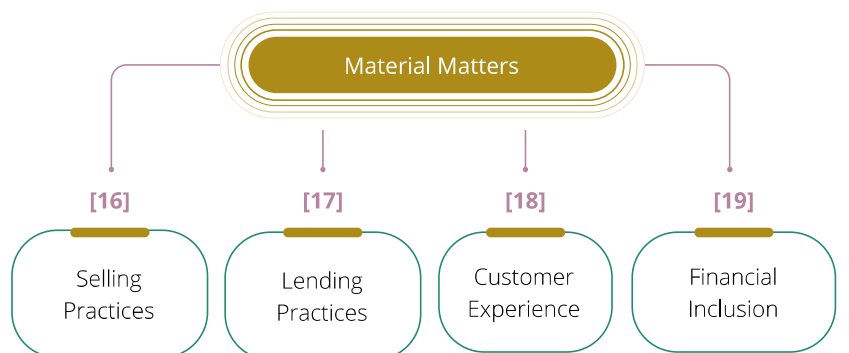
To ensure impactful and sustainable community engagement and effective employee development, LBF adopts a strategic and balanced approach. This includes carefully selecting community projects that align with our mission and values to maintain consistency and integrity, prioritising projects that offer both social and business benefits to maximise return on investment and balancing the frequency and type of training provided to employees to avoid overwhelming them while focusing on practical, hands-on development that enhances their skills and contributes to organisational success.

MATERIALITY

GRI: 2-16

MT 5 Serving and Meeting Customer Needs

Serving and Meeting Customer Needs requires a deep understanding of their individual expectations and the delivery of tailored financial solutions that offer tangible value, ease of accessibility, and unparalleled convenience. For LBF, this commitment translates into fostering long-term relationships built on personalised support, exceptional service, and proactive engagement to anticipate and fulfil their evolving financial requirements.



Material Matters: Matters that Help or Hinder Our Ability to Deliver on Our Strategy

Help

- Personalised financial solutions
- Technological advancements
- Strong customer support
- Customer feedback channels

Hinder

- Limited initiatives on market research
- Inadequate product knowledge
- Accessibility barriers

Why is this a Material Theme?

Serving and Meeting Customer Needs is a material theme for LBF because it is crucial to the Company's long-term success and competitiveness. By focusing on ethical selling, responsible lending practices, and prioritising customer experience, LBF fosters trust and strengthens customer loyalty, which are key drivers of sustainable revenue growth. Ensuring financial inclusion and meeting the diverse needs of customers, especially underserved populations, expands the Company's market reach and creates significant value for both customers and the organisation. This approach not only enhances customer satisfaction, but also ensures long-term financial stability, positioning LBF as a trusted and responsible player in the market.

Strategic Alignment

- S 1** Sustainable Growth
- S 2** Customer Centricity
- S 3** Digital Leadership
- S 5** Empowering People
- S 6** Risk Management and Governance

SDG



Capitals Impacted



GRI

GRI: 3-1, 3-2

Associated Risks

- Operational risk
- Reputation Risk
- Sustainability Risk

Associated Opportunities

- Use customer insights to offer targeted financial advice and solutions, enhancing relevance and value
- Implement AI-driven solutions to streamline processes like loan approval, providing faster and more efficient services
- Anticipate customer needs and provide proactive solutions, preventing issues before they arise

Actions

To uphold our commitment to responsible and ethical business practices, we implement a multi-faceted approach focused on training our sales teams to use ethical, customer-first selling techniques and ensuring strict compliance with all relevant regulations. Additionally, we ensure that our lending policies are consistently non-discriminatory, transparent, and fully compliant with all regulatory standards. To continuously improve the overall customer journey and address any concerns promptly and effectively, we have implemented robust feedback systems that allow us to listen to and respond to customer needs in a timely manner.

Communication of Critical Concerns

If there is/are critical concern/s, management will communicate the same to the Board of Directors for their discussion and Board will provide narrations and direction to solve or mitigate the concern/s.